BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CA (CAA) No. 15 / ALD / 2023
(First Motion)

Under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

Astha Tradeco India Private Limited
Having its Registered Office at:
7/158 A, Swaroop Nagar, Kanpur - 208002 (U.P.)
PAN: AABCA2314F
CIN: U51109UP1986PTC008450
..... Applicant/Transferor Company No.1

And

The Citi Club Private Limited
having its Registered Office at
84/79, G.T. Road, Kanpur – 208003 (U.P.)
PAN: AACCT1781A
CIN: U55101UP1992PTC014306
..... Applicant/Transferor Company No. 2

And

Chemi Chrome Industries Private Limited
having its Registered Office at
84/79, G.T. Road, Kanpur – 208003 (U.P.)
PAN: AAACC6050D
CIN: U24222UP1965PTC003099
..... Applicant / Transferee Company

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Order delivered on: 14.07.2023

Coram: Hon'ble Mr. Praveen Gupta, Member (Judicial)

Hon'ble Mr. Ashish Verma, Member (Technical)

Present through Physical hearing: -

For the Applicant Companies: Mr. S.K. Gupta, PCS

ORDER

1. This is a joint First Motion Application filed by the Applicant Companies namely; **Astha Tradeco India Private Limited** (Applicant/Transferor Company No. 1), **The Citi Club Private Limited** (Applicant/Transferor Company No. 2) and **Chemi Chrome Industries Private Limited** (Applicant/Transferee Company) under Section 230-232 of the Companies Act, 2013 (the 'Act') and other applicable provisions of the Act read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (the 'Rules') in relation to the Scheme of Amalgamation between the Applicant Companies and their respective Shareholders and Creditors (the 'Scheme'). The said Scheme is attached as **Annexure A-1** of the Application.
2. The Applicant Companies have prayed for dispensing with the requirement for convening the Meeting of the Creditors of the

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Applicant/Transferor Company No. 1 as it is stated in the Application that there are no Secured and Unsecured Creditors in the Applicant/Transferor Company No. 1, Meeting of the Secured Creditors of the Applicant/Transferor Company No. 2 as there are no Secured Creditors in the Applicant/Transferor Company No. 2, Meetings of Unsecured Creditors of the Applicant/Transferor Company No. 2 and Applicant/Transferee Company, Meeting of the Secured Creditors of the Applicant/Transferee Company based on consent affidavits. It is further prayed to convene the meetings of the Equity Shareholders of the Applicant/Transferor Company No. 1, Applicant/Transferor Company No. 2 and the Applicant/Transferee Company.

3. The Applicant/Transferor Company No. 1 is a 'Private Limited Company' incorporated under the Companies Act, 1956 and is engaged in the business of trading, investment and allied activities. The Equity Shares of the Applicant/Transferor Company No. 1 are not listed on any Stock Exchange. The Applicant/Transferor Company No. 1 is an Associate Company of the Applicant/Transferor Company No. 2 and the Applicant/Transferee Company.

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4. The Applicant/Transferor Company No. 2 is a Private Limited Company incorporated under the Companies Act, 1956 and is engaged in Hospitality and Entertainment business and also holds investments in Group Companies. The Equity Shares of the Applicant/Transferor Company No. 2 are not listed on any Stock Exchange. The Applicant/Transferor Company No.2 holds 26.44% of the Paid-up Share Capital of Applicant/Transferor Company No. 1, as such, the Applicant/Transferor Company No. 1 is an Associate Company of the Applicant/Transferor Company No.2.

5. The Applicant/Transferee Company is a Private Limited Company incorporated under the Companies Act, 1956 and is engaged in the Real Estate business and holds investments in Group Companies. The Equity Shares of the Applicant/Transferee Company are not listed on any Stock Exchange. The Applicant/Transferee Company holds 28.79% of the Paid-up Share Capital of the Applicant/Transferor Company No.1, as such, the Applicant/Transferor Company No.1 is an Associate Company of the Applicant/Transferee Company.

6. It is submitted that the Registered Offices of the Applicant Companies are situated in the State of Uttar Pradesh, therefore,

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the territorial jurisdiction of the Applicant Companies lie with this Bench.

7. The rationale of the Scheme is given below:-

a) The Transferor Companies and the Transferee Company have common control, common management, common place of business, common fund management and common group administration. The amalgamation will result in simplification of corporate structure by reducing the number of legal entities, rationalization of group shareholding pattern and reorganizing the legal entities in the group structure.

b) The amalgamation would integrate the business synergies and reap the benefit of consolidation through focused management, generating surplus funds to enable planning for further growth in business.

c) The amalgamation will lead to emergence of a single entity with strong financial capability to effectively withstand competition, to effectuate economies of scale and to optimize benefits available under the law. The consolidated Company with far enlarged asset base, higher profitability

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and net worth will be better placed to access low cost fund for its expansion and diversification requirements.

d) The amalgamation will result in significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried by the Amalgamating Companies and will avoid duplication of administrative functions and eliminate multiple record keeping.

8. It is stated that the Board of Directors of the Applicant / Transferor Company No. 1 and 2 and the Applicant / Transferee Company in their respective meetings held on 15th May, 2023 have considered and unanimously approved the Scheme of Amalgamation subject to sanctioning of the same by this Tribunal. The copies of the Board Resolutions of the Applicant Companies are part of attached as **Annexures A-11, A-12 and A-13** respectively of the Application.

9. The 'Appointed Date' of the Scheme is 1st April, 2023 as mentioned in the Scheme of Amalgamation which is attached as **Annexure A1** of the Application.

10. It is stated that the Applicant / Transferor Companies and Applicant / Transferee Company have filed the Audited Financial Statements as on 31st March, 2022 which are

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attached as **Annexures A-3, A-6** and **A-9** respectively of the Application.

11. It is further stated that the Applicant / Transferor Companies and Applicant / Transferee Company have also filed the Interim Financial Statements for the period ended 28th February, 2023 which are attached as **Annexures A-4, A-7** and **A-10** respectively of the Application.

12. It is submitted that no corporate debt restructuring is envisaged in the proposed Scheme of Amalgamation.

13. It is further submitted that in pursuance of the proviso to Section 230 (7) and Section 232 (3) of the Act, the Applicant Companies have filed the certificates dated 20th May, 2023 issued by the Statutory Auditors of the respective Applicant Companies certifying that the accounting treatment proposed in the Scheme is in compliance with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 and the same are attached as **Annexures A-15, A-16 and A-17** respectively of the Application.

14. It is further submitted by the Counsel for the Applicant Companies that as per the Report of CS Mallika Goel, a Registered Valuer for Securities and Financial Assets

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(Registration No. IBBI / RV/ 11 / 2022 / 14784) dated 11th May, 2023 on Share Exchange Ratio for the Scheme of Amalgamation which is attached as **Annexure A-14** of the Application, the Applicant / Transferee Company shall, without any further act or deed, Issue and allot to each member of the Transferor Companies, whose name is recorded in the Register of Members as on the Record date, the Equity Shares in the following proportion:

Name of the Transferor Company	**No. of New Equity Shares to be issued by Transferee Company to the members of the Transferor Companies**
Astha Tradeco India Private Limited (Applicant/Transferor Company No.1)	5 (Five) Equity Shares of Rs.1000/- each credited as fully paid-up in the Transferee Company for every 1,000 (One Thousand) Equity Shares of Rs.10/- each fully paid-up held by such Equity

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	Shareholder in Transferor Company No. 1.
The Citi Club Private Limited (Applicant/Transferor Company No.2)	123 (One Hundred and Twenty Three) Equity Shares of Rs.1,000/- each credited as fully paid-up in the Transferee Company for every 1,000 (One Thousand) Equity Shares of Rs.100/- each fully paid-up held by such Equity Shareholder in Transferor Company No. 2

15. It is submitted by the learned Counsel that the Scheme of Amalgamation (**Annexure A-1**) also takes care of the interests of the staff, workers and employees of the Applicant Companies, as provided under Part-II Para 17 of the Scheme.

16. The Authorised Representative of the Applicant Companies has deposed by way of affidavit that there are no inspection, inquiry, investigations or legal proceedings pending against the Applicant Companies under Section 210 to 227 of the

Companies Act, 2013 and Section 235 to 251 of the Companies Act, 1956 and other applicable provisions of the Companies Act, 1956 / 2013. The aforesaid Affidavit of the Authorised Representative of the Applicant Companies is attached and marked as **Annexure A-28(a), A-28(b) and A-28(c)** of the Application.

17. The Authorised Representative of the Applicant Companies has deposed by way of affidavit that the Applicant Companies are not regulated by any sectoral regulators. The aforesaid Affidavit of the Authorised Representative of the Applicant Companies is attached and marked as **Annexure A-29(a), A-29(b) and A-29(c)** of the Application.

18. The Applicant Companies have furnished the following documents:-

- Proposed Scheme of Amalgamation (Annexure A-1 of the Application).
- Certificate of Incorporation along with Memorandum and Articles of Association of the Applicant Companies (Annexures A-2, A-5 and A-8 respectively of the Application).
- List of Equity Shareholders of the Applicant/Transferor Company No. 1 and 2 and Applicant/Transferee Company as

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on 15th May, 2023 (Annexure A-18, A-21 and A-24 of the Application).

- Affidavit of the Managing Director verifying the nil position of both the secured and unsecured creditors of the Applicant/Transferor Company No. 1 (Annexure A-20 of the Application).
- Consent Affidavit of Sole Unsecured Creditor for waiver of holding of Meeting of Unsecured Creditors of the 'Applicant/Transferor Company No. 2' (Annexure A-23 of the Application).
- Consent Affidavit of Sole Secured Creditor for waiver of holding of Meeting of Secured Creditors of the 'Applicant/Transferee Company' (Annexure A-26 of the Application).
- Consent Affidavit of an Unsecured Creditor constituting 95.02% of the total value of Unsecured Debt for waiver of holding of Meeting of Unsecured Creditors of the 'Applicant/Transferee Company' (Annexure A-27 of the Application)
- List of Creditors of the Applicant/Transferor Company No. 1 and 2 and the Applicant/Transferee Company as on 28th

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February, 2023 duly certified by the Statutory Auditors (Annexures A-19, A-22 and A-25 of the Application).

- Certificates of the Statutory Auditors of the Applicant Companies to the effect that the Accounting treatment proposed in the Scheme is in conformity with the provisions of Section 133 of the Companies Act, 2013 (Annexures A-15, A-16 and A-17 respectively of the Application).
- Audited Financial Statements as on 31st March, 2022 of the Applicant Companies (Annexures A-3, A-6 and A-9 respectively of the Application).
- Interim Financial Statements for the period ended 28th February, 2023 of the Applicant Companies (Annexures A-4, A-7 and A-10 respectively of the Application).
- Report on Valuation of Shares and Share Exchange Ratio of CS Mallika Goel, a Registered Valuer for Securities and Financial Assets (Registration No. IBBI/RV/11/2022/14784) dated 11th May, 2023 for the Scheme of Amalgamation (Annexure A-14 of the Application).
- Affidavits stating that there are no legal proceedings pending against the Applicant Companies (Annexure A-28(a), A-28(b) and A-28(c) of the Application).

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- Affidavit with regard to the Sectoral Regulator of the Applicant Companies (Annexure A-29(a), 29(b) and 29(c) of the Application).

19. The Applicant Companies have furnished the details of the Equity Shareholders, Preference Shareholders, Secured and Unsecured Creditors and Debenture holders as follows:

Name of the Applicant Companies	**Shareholders along with their consent on affidavit**		**Creditors alongwith their consents on affidavit**			
	Equity Shareholders	**Consents submitted on affidavit**	**Secured Creditors**	**Consents submitted on affidavit**	**Unsecured Creditors**	**Consents submitted on affidavit**
Astha Tradeco India Private Limited (Applicant/Transferor Company No. 1)	33 (Thirty Three)	Physical Meeting to be convened	NIL	N.A.	NIL	N.A.
The Citi Club Private Limited (Applicant/Transferor Company No. 2)	21 (Twenty One)	Physical Meeting to be convened	NIL	N.A.	1 (One)	Consent of the Sole Unsecured Creditor holding 100% of the total value of Unsecured Debts of the Company submitted for dispensation of the Meeting of Unsecured Creditors.
Chemi Chrome Industries Private Limited (Applicant/Transferee Company)	20 (Twenty)	Physical Meeting to be convened	1 (One)	Consent of the Sole Secured Creditor holding 100% of the total value of Secured	14 (Fourteen)	Consent of 1 (One) Unsecured Creditor holding 95.02% of the total value of Unsecured

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				Debts of the Company has been submitted for dispensation of the Meeting of Secured Creditors.		Debts of the Company has been submitted for dispensation of the Meeting of Unsecured Creditors.

Name of the Applicant Companies	**Preference Shareholders along with their consent on affidavit**		**Debenture holders along with their consent on affidavit**	
	No. of Preference Shareholders	**Consents submitted on affidavit**	**No. of Debenture holders**	**Consents submitted on affidavit**
Astha Tradeco India Private Limited (Applicant/Transferor Company No. 1)	NIL	N.A.	NIL	N.A.
The Citi Club Private Limited (Applicant/Transferor Company No. 2)	NIL	N.A.	NIL	N.A.
Chemi Chrome Industries Private Limited (Applicant/Transferee Company)	NIL	N.A.	NIL	N.A.

20. Accordingly, the directions of this Bench in the present case are as under:-

I. <u>In relation to Applicant/Transferor Company No. 1</u>:

a. There are no Secured and Unsecured Creditors of the Applicant/Transferor Company No. 1, as such, the question of issuing directions for convening/dispensing the meetings of the Secured and Unsecured Creditors of the Applicant/Transferor Company No. 1 does not arise;

b. There are no Preference Shareholders of the Applicant/Transferor Company No. 1, as such, the question of issuing directions for convening/dispensing the meeting of the Preference Shareholders of the Applicant/Transferor Company No. 1 does not arise;

c. The meeting of the Equity Shareholders of the Applicant/Transferor Company No. 1 shall be convened as prayed for on **Saturday, 16th September, 2023 at 11:00 A.M.** at 84/79, G.T. Road, Kanpur - 208003, Uttar Pradesh with facility for voting through poll at the venue of the meeting. The quorum of the meeting of the Equity Shareholders shall be in accordance with the provisions of

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the Companies Act, 2013 and the applicable Rules made thereunder. For computing the quorum, Equity Shareholders present through valid proxy shall also be considered.

II. <u>In relation to Applicant / Transferor Company No. 2</u>:

a. There are no Secured Creditors of the Applicant/Transferor Company No. 2, as such, the question of issuing directions for convening/dispensing the meeting of the Secured Creditors of the Applicant/Transferor Company No. 2 does not arise;

b. The meeting of the Unsecured Creditors of the Applicant/Transferor Company No. 2 is dispensed with as consent from Sole Unsecured Applicant/Transferor Company No. 2 has been received by way of an affidavit;

c. There are no Preference Shareholders of the Applicant/Transferor Company No. 2, as such, the question of issuing directions for convening/dispensing the meeting of the Preference Shareholders of the Applicant/Transferor Company No. 2 does not arise;

d. The meeting of the Equity Shareholders of the Applicant/Transferor Company No. 2 shall be convened as prayed for on **Saturday, 16th September, 2023 at 12:30**

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P.M. at the Registered Office of the Company at 84/79, G.T. Road, Kanpur - 208003, Uttar Pradesh with facility for voting through poll at the venue of the meeting. The quorum of the meeting of the Equity Shareholders shall be in accordance with the provisions of the Companies Act, 2013 and the applicable Rules made thereunder. For computing the quorum, Equity Shareholders present through valid proxy shall also be considered.

III. <u>In relation to Applicant/Transferee Company</u>:

a. The meeting of the Secured Creditors of the Applicant/Transferee Company is dispensed with as consent from Sole Secured Applicant/Transferee Company has been received by way of an affidavit;

b. The meeting of the Unsecured Creditors of the Applicant/Transferee Company is dispensed with as consent from 1 (One) Unsecured Creditor holding 95.02% of the total value of Unsecured debts of the Applicant/Transferee Company has been received by way of an affidavit.

c. There are no Preference Shareholders of the Applicant/Transferee Company, as such, the question of issuing directions for convening/dispensing the meeting of

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the Preference Shareholders of the Applicant/Transferee Company does not arise;

d. The meeting of the Equity Shareholders of the Applicant/Transferee Company shall be convened as prayed for on **Saturday, 16th September, 2023 at 3:00 P.M.** at the Registered Office of the Company at 84/79, G.T. Road, Kanpur - 208003, Uttar Pradesh with facility for voting through poll at the venue of the meeting. The quorum of the meeting of the Equity Shareholders shall be in accordance with the provisions of the Companies Act, 2013 and the applicable Rules made thereunder. For computing the quorum, Equity Shareholders present through valid proxy shall also be considered.

IV. In case the required quorum as noted above for the meetings is not present at the commencement of the meeting, the meeting shall be adjourned by thirty minutes and thereafter the Equity Shareholders of the Applicant Companies present and voting shall be deemed to constitute the quorum of the respective meetings.

V. Mr. Shubham Agarwal, Mobile No. 9415022175, email id: shubhamadv1@gmail.com is appointed as the Chairperson

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and Mr. Aman Dwivedi, Mobile No. 8090689493, email id: is appointed as the Co- Chairperson for the meetings to be called under this order. An amount of Rs.1,50,000/- (Rupees One Lakh Fifty Thousand only) and Rs. 1,25,000/- (Rupees One Lakh Twenty-Five Thousand only) be paid respectively for their services. The Chairperson shall have all other powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 read with the other applicable rules and provisions in relation to conduct of the meetings, including for deciding procedural questions that may arise at the meeting(s) or at any adjournment thereof, or any other matter relating to the meetings, including an amendment to the Scheme, if any, proposed by any persons.

VI. Ms. Monica Nanda, Mobile No. 9984254321, email id: monicananda991@gmail.com, is appointed as the Scrutinizer for the above meetings to be called under this order. An amount of Rs.1,00,000/- (Rupees One Lakh only) be paid for his services as the Scrutinizer.

VII. Apart from the above remuneration, the Applicant Companies shall make necessary and proper arrangements for travel/transport, stay and other allied expenses.

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VIII. It is further directed that individual notices of the said meetings of Equity Shareholders shall be sent by the Applicant Companies through registered post or speed post and through e-mail, at least 30 (Thirty) days in advance before the scheduled date of the meeting, indicating the day, date, time and place as aforesaid, together with a copy of the Scheme, copy of the Explanatory Statement, Report on Valuation of Shares and Share Exchange Ratio of the Registered Valuer proposed in Scheme of Amalgamation as discussed in para 14 of this order, form of proxy and documents required to be sent under the Companies Act, 2013 and the applicable Rules made thereunder.

IX. It is further directed that along with the notices, the Applicant Companies shall also send, statements explaining the effect of the Scheme on the creditors, shareholders, key managerial personnel, promoters and non-promoter members, etc. along with the effect of the Scheme of Amalgamation on any material interests of the Directors of the Applicant Companies provided under sub-section (3) of Section 230 of the Act.

X. It is further directed that the provisional Accounting Statement of the Applicant Companies be also circulated

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along with the Notice of the aforesaid meetings in terms of Section 232(2)(e) of the Companies Act, 2013.

XI. That the Applicant Companies shall publish an advertisement with a gap of at least 30 (Thirty) clear days before the aforesaid meetings, indicating the day, date, time and place of the meeting as aforesaid, to be published in "The Pioneer" (English) and "Rashtriya Sahara" (Hindi) both having wide circulation in Kanpur in the State of Uttar Pradesh. It shall be stated in the advertisement that the copies of "Scheme", the Explanatory Statement required to be furnished can be obtained free of charge at the registered office of the Applicant Companies pursuant to Section 230 to 232 of the Act. The Applicant Companies shall also host the notice on the website, if any.

XII. It shall be the responsibility of the Applicant Companies to ensure that the notices are sent under the signature and supervision of the authorized representative of the Applicant Companies on the basis of Board resolutions and that they shall file their affidavits in the Tribunal at least 7(Seven) days before the date fixed for the meetings.

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XIII. All the meetings of the Equity Shareholders of the Applicant Companies shall be held physically and voting shall be conducted through poll by polling paper and the Equity Shareholders present in person or by proxy shall be entitled to vote thereat. Subject to the directions and matters dealt with herein, the procedure for voting by polling paper at the venue of the meeting shall be in so far as the same is prescribed by the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014, Secretarial Standards on General Meetings and the forms prescribed thereunder shall be followed with such variations as may be required in the circumstances and in relation to the resolution for approval of the Scheme of Amalgamation.

XIV. The Scrutinizer's report will contain his / her findings on the compliance to the directions given in Para VIII to XIII above.

XV. The Chairperson shall be responsible to report the result of the meetings to the Tribunal in Form No. CAA-4, as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within 15 (Fifteen) days of the conclusion of the meeting. The Chairperson would be fully assisted by the Authorized Representative / Company

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Secretary of the Applicant Companies and the Scrutinizer in preparing and finalizing the reports.

XVI. The Applicant Companies shall individually and in compliance of sub-section (5) of Section 230 of the Act and Rule 8 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 send notices in Form No. CAA-3 along with copy of the Scheme, Explanatory Statement and the disclosures mentioned in Rule 6 of the "Rules" to (i) Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (ii) Jurisdictional Registrar of Companies; (iii) Official Liquidator, Allahabad; (iv) Income-Tax Department having jurisdiction over the Applicant Companies by mentioning the PAN number of the Applicant Companies and to such other Sectoral Regulator(s) governing the business of the Applicant Companies, if any, stating that report on the same, if any, shall be sent to this Tribunal within a period of 30 (Thirty) days from the date of receipt of such notice and copy of such report shall be simultaneously sent to the Applicant Companies, failing which it shall be presumed that they have no objection to the proposed Scheme.

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XVII. The Applicant Companies shall furnish a copy of the Scheme free of charge within one day of any requisition for the Scheme made by any Shareholder or creditor–entitled to attend the meeting as aforesaid.

XVIII. The Authorized Representative of the Applicant Companies shall furnish an Affidavit of Service of Notice of Meetings and publication of advertisement and compliance of all directions contained herein at least 7 (Seven) days before the date fixed for the meetings.

XIX. All the aforesaid directions are to be complied with strictly in accordance with the applicable laws including forms and formats contained in the Rules as well as the provisions of the Companies Act, 2013 by the Applicant Companies.

XX. The Company Petition for confirmation of the Scheme is to be filed within the time period prescribed under the provisions of the Act and corresponding rules made thereunder. The appropriate prayer would also be made in the second motion petition for publication in newspaper.

21. With the aforesaid directions, this First Motion Application stands disposed of. A copy of this order be supplied to the

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learned Counsel for the Applicant Companies who in turn shall supply a copy of the same to the Chairperson and the Scrutinizer immediately.

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(ASHISH VERMA)
Member (Technical)

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(PRAVEEN GUPTA)
Member (Judicial)

Aditi Kharbanda
(LRA)